



भारतीय रिज़र्व बैंक
RESERVE BANK OF INDIA

www.rbi.org.in

RBI/2025-26/129

DOR.STR.REC.340/21-04-048/2025-26

December 4, 2025

Reserve Bank of India (Small Finance Banks – Income Recognition, Asset Classification and Provisioning) Amendment Directions, 2025

Please refer to [Reserve Bank of India \(Small Finance Banks – Income Recognition, Asset Classification and Provisioning\) Directions, 2025](#) (hereinafter referred to as ‘the Directions’).

2. On a review, consequent to the issuance of [Reserve Bank of India \(Small Finance Banks – Concentration Risk Management\) Amendment Directions, 2025](#), and in exercise of the powers conferred by the sections 21 and 35A of the Banking Regulation Act, 1949 and all other laws enabling the Reserve Bank in this regard, the Reserve Bank being satisfied that it is necessary and expedient in the public interest so to do, hereby issues the Amendment Directions hereinafter specified.

3. The Amendment Directions modifies the Directions as under:

Paragraph 113 under ‘Chapter IV – Provisioning Norms’ shall stand deleted.

4. Pursuant to the above, a bank shall be free to reverse the released provisions or transfer the same to General Reserve.

5. The above amendment shall come into force from January 1, 2026.

(Vaibhav Chaturvedi)
Chief General Manager